Intelligent Investing

ET Prime Special Series: Multibagger or IBC - Part 73: The customer pays slowly. The machines depreciate slowly too



Synopsis

The title of this series sounds binary. The businesses rarely are. Between a multibagger and bankruptcy lies a large middle ground where companies grow, borrow, expand capacity, dilute equity, win custo[illegible] and sometimes struggle to convert accounting profit into cash.

Here is a question worth asking of any company you own: When it makes a sale, who actually owes it the money, and how close are they to the people runnin the business? For this auto-parts maker, the answer is uncomfortable.

One customer pays far more slowly than all the others – taking well over four months to settle its bills, against under two months for everyone else. And that customer is not an arm's-length stranger. It is a related party: Also a shareholder in the compan (and also one of its biggest buyers), with its shares tangled up in pledges alongside the promoters'.

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So a meaningful slice of what looks like ordinary "sales" is really money owed by someone sitting close to the promoter – and being collected unusually slowly. On the surface, a sale is a sale. Who is on the other side of it, and how quickly they pay, is the part you have to dig for.

None of this proves anything is wrong. But it is exactly the kind of thing that never shows up in the profit number, and exactly the kind of thing that decides whether a company's growth is as solid as it looks.

The title of this series sounds binary. The businesses rarely are. Between a multibagger and bankruptcy lies a large middle ground where companies grow, borrow, expand capacity, dilute equity, win customers, and sometimes struggle to convert accounting profit into cash.

Part 73 sits squarely in that zone. This company has a long manufacturing history, improving recent profitability, and a portfolio that is not entirely threatened by electrification. But it also has customer concentration, promoter pledges, and working-capital questions. To understand which side of the equation could ultimately dominate, we first need to go back to its unusual beginning.

The company we will be taking a deep dive into is **Him Teknoforge Limited**.

But first... about our headline

Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

*This series on **auto ancillary companies** works with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.*

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For previous stories in this AA Series, kindly click on the respective links -Intro, 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16, 17, 18, 19, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 30, 31, 32, 33, 34, 35, 36, 37, 38, 39, 40, 41, 42, 43, 44, 45, 46, 47, 48, 49, 50, 51, 52, 53, 54, 55, 56, 57, 58, 59, 60, 61, 62, 63, 64, 65, 66, 67, 68, 69, 70, 71, 72

3 Birth Dates, 1 Listed Business

Understanding Him Teknoforge requires starting with an unusual piece of corporate history. Ask when the company started and there are three answers, depending on what exactly you are asking about.

The company's website traces its operating roots to 1981, when Vijay Aggarwal started a forging unit in Baddi, Himachal Pradesh, as an ancillary to Eicher Tractors. Its history page says the business was initially set up as Him Forging India Pvt. Ltd.

But the NCLT amalgamation order says the transferor entity, Him Teknoforge, was incorporated on January 11, 1989, and later converted into a public limited company in 1993.

The listed entity has an even older legal history. Gujarat Automotive Gears Limited, the company into which Him Teknoforge was eventually merged, was incorporated in March 1971 and was already listed on BSE.

That distinction matters. Today's Him Teknoforge is not simply the same legal entity that started a forging unit in 1981. It is the outcome of an operating business, an acquisition and eventually a reverse merger. The milestones show how that happened.

The business added a gear plant at Baddi in 1996, acquired a gear manufacturing facility at Pithampu Madhya Pradesh, in 2009 and added another forgin unit at Manpura, Himachal Pradesh, in 2010.

Then came the transaction that changed its listed history. In 2013, Him Teknoforge acquired Gujarat Automotive Gears, which brought additional

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products and export exposure.

In 2016, Canbank Venture Capital Fund invested $4.5 million for a minority stake, according to the company's milestone disclosure. Then in 2018, Him Teknoforge was merged into the listed Gujarat Automotive Gears through an NCLT-approved scheme, with an appointed date of April 1, 2016. The surviving listed entity was renamed Him Teknoforge Limited.

The stated rationale was conventional: Consolidate similar businesses, gain scale, reduce overheads, improve utilisation, strengthen cash flows, and simplify the group structure.

But for investors analysing historical numbers, the implication is important. Pre-merger and post-merger financial growth cannot be read as one clean organic series. The business itself changed.

Today, Him Teknoforge says it operates six manufacturing facilities, with forging capacity of around 40,000 MT a year, and machining capacity of around five million components annually. That brings us to what these factories actually do.

Parts & Products

Him Teknoforge is primarily an auto-parts manufacturer. But within that single segment sits a wide range of components. It makes forged and machined components, primarily for tractors, agricultural equipment and commercial vehicles. It portfolio includes gears, shafts, axles, crown wheels and bevel gears, PTO assemblies, gearboxes, king pins, propeller-shaft components, steering and suspension parts, along with components for railways, defence, forklifts, and oil and gas applications.

Let's understand a few products of the company in simple terms.

Gears and shafts are among its core product families. Gears transfer rotational power and can change speed or torque, while shafts carry that rotating force from one part of a machine to anothe

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Him Teknoforge makes engine, crank, bull, spur and helical gears, along with input, main, PTO and drive shafts for agricultural machinery and commercial vehicles. Its website claims a capacity of over 200,000 gears and shafts.

Crown wheels and bevel gears are used where rotational power needs to be transmitted between shafts running at different angles, such as in a vehicle's differential. In simple terms, they help turn the direction in which power travels. Him Teknoforge supplies these for agricultural and automotive applications.

Axles form part of the structure that carries load and transfers motion to the wheels. Him Teknoforge says it has a dedicated facility for both forging and machining axles.

PTO assemblies, mainly used in tractors and agricultural equipment, allow power from the vehicle to operate an attached implement. Think of it as a mechanical power outlet from the tractor to equipment such as a mower or other farm implement. Him Teknoforge manufactures these assemblies in-house and supplies them to agricultural-equipment OEMs.

The broader point is that Him Teknoforge is not dependent on one component. It combines forging, machining and assembly capabilities across several drivetrain, steering and chassis-related products.

But diversification by product should not be confused with diversification by customer or end-market. That is where the revenue mix becomes more revealing.

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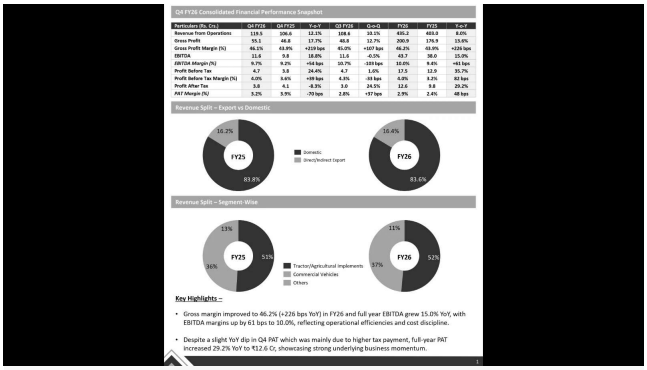
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Tractors Take the Lead

For accounting purposes, Him Teknoforge reports one business segment because management evaluates the operation as a single auto-parts business. Commercially, however, the FY26 disclosure gives investors a more useful end-market split.



Source: Press Release

In FY26, tractor and agricultural implements contributed 52% of revenue, up slightly from 51% in FY25. Commercial vehicles contributed 37%, against 36% a year earlier. The remaining 11% came from other markets.

So almost nine-tenths of the business still depends on tractors, agricultural equipment and commercial vehicles.

Exports add another layer. FY25 annual-report data shows revenue outside India of Rs. 65.26 crore, against total customer revenue of Rs. 402.98 crore.

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Source: Annual Report FY25

The FY26 company presentation puts direct and indirect exports at 16.4% of revenue, almost unchanged from 16.2% in FY25. The website shows a broad export footprint across Europe, North

America, parts of Asia, West Asia, and other markets.



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Source: Company website

But the revenue data makes one point clear: This remains primarily a domestic business. Him Teknoforge's customer page on website displays names including Ashok Leyland, ZF India, Mahindra, Escorts, Dana, Meritor, VE Commercial Vehicles, Oerlikon, Sonalika, Swaraj, Brakes India, SML Isuzu, Tata and others.



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Source: Company Website

Those logos help show where the company's products can sit in the supply chain. They do not, however, tell investors which customers actually contribute the most revenue. The annual report

does. And this is where the story becomes more interesting.

Customer Concentration

Him Teknoforge disclosed that two customers individually contributed more than 10% of FY25 customer revenue. Customer A contributed Rs. 67.54 crore and customer B contributed Rs. 76.68 crore. Together, they accounted for around 35% of FY25 revenue from contracts with customers.

The annual report does not name either customer. But another disclosure provides an important clue.

Him Teknoforge recorded Rs. 76.21 crore of sales to related party Globe Precision Industries Pvt. Ltd. in FY25, plus Rs. 0.47 crore of job-work charges received. Add the two and you get approximately Rs. 76.68 crore.

That is effectively the exact amount disclosed for Customer B. This strongly suggests that Customer B might be Globe Precision Industries Pvt. Ltd.

However, the annual report does not explicitly make that identification, so it should be treated as an inference rather than a disclosed fact.

The relationship is also not just commercial. Globe Precision is disclosed as a related party, and at March 2025 it held 6.20% shares of the company. The more important question is what happened to the money after the sale.

At March 2025, Him Teknoforge had Rs. 29.12 crore receivable from Globe Precision, compared with Rs. 13.85 crore a year earlier. That gives investors a useful way to separate collection behaviour between related parties and everyone else.

Using manufactured-product sales plus job-work income as the relevant revenue base, related parties generated around Rs. 76.70 crore in FY25. Other customers generated around Rs. 324.66 crore.

The average of opening and closing receivables was roughly Rs. 21.58 crore for related parties, against Rs 43.32 crore for other customers.

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The result is a sizable difference in implied collection periods. Using closing receivables, related-party days sales outstanding (DSO) works out to about 139 days, against about 54 days for other customers. Using average receivables, the gap is still large at around 103 days versus 49 days.

The same point can be expressed another way. Related parties contributed only around 19.03% of FY25 revenue from operations, but accounted for approximately 37.96% of closing trade receivables.

This does not establish that the receivable is impaired. But it does establish that collections from related parties were materially slower in FY25. And it sits inside a broader rise in receivables.



Source: Annual Report FY25

Total trade receivables increased from Rs. 53.09 crore in FY24 to Rs. 76.71 crore in FY25, a rise of roughly 44%, while customer revenue grew much more slowly. Trade-receivable turnover consequently declined from 6.99 times to 6.21 times.

Most receivables were still less than six months old. But Rs. 0.99 crore had been outstanding for more than three years.

The annual report separately disclosed Rs. 1.34 crore of overdue receivables for which no provision had been made, because management remained hopeful

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of recovery. Another note states that trade receivable, payable and other financial balances were subject to confirmation and consequential adjustment, if any.

None of these figures on their own tells investors that the money will not be recovered. What they do say is simpler: The quality of future growth needs to be judged not only by revenue and PAT, but by the speed at which those revenues turn into cash.

That matters even more because Him Teknoforge does not operate with a large cash buffer.

Debt Drops, Liquidity Lingers

In March 2025, Him Teknoforge reported gross borrowings of Rs. 150.31 crore. Net debt was therefore effectively the same as gross debt at Rs. 150.28 crore.

The leverage trend itself improved. Debt-equity declined from 0.83 in FY24 to 0.68 in FY25. The gearing ratio declined from 45.36% to 40.54%. Debt-service coverage improved from 0.91 to 1.04.



Source: Annual Report FY25

So the direction is better. But the comfort on interest coverage is still limited. Interest coverage actually slipped from 2.26 times to 2.11 times in FY25. Finance costs for FY25 were Rs. 18.56 crore.

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Of this, interest on bank loans alone was about Rs. 9.94 crore, interest on NBFC loans was Rs. 3.24 crore and bill-discounting interest was Rs. 3.66 crore.



Source: Annual Report FY25

The borrowing structure is worth understanding. As of March 2025, working-capital borrowings included around Rs. 80.44 crore denominated in foreign currency, Rs. 10 crore of export packing credit and Rs. 5.21 crore of cash credit. Current maturities of long-term debt were another Rs. 19.13 crore.

The disclosed interest range on foreign-currency Working Capital Demand Loan (WCDL) was lower than that on most other working-capital borrowings. The annual report says interest on foreign-currency WCDL ranged from 5.64% to 7.40%, while certain other working-capital borrowing cost 9.45% to 9.85%.

That lower interest cost comes with another question: Currency risk. Him Teknoforge's disclosures show that it uses forward bookings for some overseas transactions. The policy says open export positions are reviewed regularly, while long-term forex commitments in the nature of term loan are intended to be fully hedged.

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Source: Annual Report FY25

But the year-end open-exposure table specifically covers trade receivables and payables, rather than giving investors a direct hedge reconciliation for the entire foreign-currency borrowing line.

At March 2025, disclosed unhedged foreign-currency trade receivables were approximately: Rs. 8.04 crore in euros, Rs. 2.20 crore in US dollars and Rs. 0.09 crore in pounds. Total disclosed unhedged receivables were therefore around Rs. 10.32 crore.



Source: Annual Report FY25

The important distinction is that investors should not assume the Rs. 80.44 crore foreign-currency borrowing itself is unhedged merely because it appears in the borrowings note. The disclosed open-

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exposure table is not a complete loan hedge schedule.

The safest reading is this: Him Teknoforge actively manages forex risk, keeps some trade exposure open and says long-term forex commitments are hedged, but the provided disclosures do not allow a clean instrument-by-instrument hedge match against the entire foreign-currency borrowing balance.

There is another accounting choice that also deserves attention because it affects reported profit.

Long Life, Lower Charge

Manufacturing profits depend not only on sales and raw-material costs. They also depend on how quickly expensive machines are depreciated.

Him Teknoforge's accounting policy says plant and machinery at its forging units is depreciated over an estimated useful life of 40 years, while machinery at machining units is depreciated over 30 years.



Source: Annual Report FY25

These are long economic lives. Heavy manufacturin machinery often uses shorter useful-life assumptions, with 15 to 20 years being a common range across many industrial businesses, although policies differ depending on the asset, operating conditions and technical assessment.

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That difference has a mechanical accounting effect. A machine depreciated over 40 years produces a lower annual depreciation charge than the same machine depreciated over 20 years. Lower annual depreciation raises reported accounting profit and leaves a higher carrying value on the balance sheet, all else being equal.

But a long useful life is not, by itself, an accounting violation. Under the Companies Act framework and Ind AS 16, useful life should reflect the period over which the asset is expected to provide economic benefits. Companies can use lives different from Schedule II where they have technical justification and make the necessary disclosures.

Him Teknoforge says its 30-year and 40-year assumptions are based on internal assessment and independent technical evaluation by a Chartered Engineer. So the investor takeaway should not be that the accounting is automatically wrong. It is that Him Teknoforge's PAT should be read with awareness that the company uses long depreciation.

This becomes particularly relevant as Him Teknoforge enters another capex phase.

Capex for Capacity

The FY25 annual report said Him Teknoforge was in the final stages of establishing a new press project at Pithampur. Expected capital expenditure was approximately Rs. 52 crore, funded through a mix of debt and equity.

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Source: Annual Report FY25

More interesting is what happened after FY25. The statutory FY25 technology-absorption disclosure had marked technology absorption and R&D expenditure as N.A. Then in September 2025, Him Teknoforge announced a technical collaboration with JIUXIN Precision Tooling Corp. and YIYOU Machinery Co. Ltd.

The agreement covers design, inspection and troubleshooting of bevel gears, optimisation of die-making costs, selection of presses and equipment, forging solutions and tooling. YIYOU is also expected to provide technical personnel for four to six months each year, along with hands-on training in China for nominated Him Teknoforge employees.

This matters because it is a more concrete technology step than a generic statement about innovation. But the benefits from this technical collaboration will need to be assessed from the FY26 annual report once it is available. Investors therefore need to separate capability building from commercial outcome.

The same caution applies to Him Teknoforge's moves into new corporate vehicles. The company incorporated Himforge Rings LLP in November 2024 and agreed to hold a 75% interest. No capital was contributed. No operations started. By December 2025, Him Teknoforge had exited the LLP.

A similar outcome followed a proposed Italian JV. Him Teknoforge agreed to subscribe to 40% of Dinamico Axles & Drive Wheels Pvt. Ltd. But no investment had been made and no significant business operations began. By April 2026, the company was moving to strike the JV off.

In one sense, that limited cash leakage. In another, it means those diversification efforts did not develop into operating businesses.

The China technical collaboration is therefore the more relevant transition initiative. And that

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transition is becoming important because not every product in the existing portfolio will behave the same way in an electric world.

EV Exposure

Him Teknoforge identifies the ICE-to-EV transition both as an opportunity and a threat. That is appropriate. But the easiest mistake would be to treat the entire portfolio as either EV-safe or EV-obsolete.

Neither is correct. Engine-specific gears, crankshafts and related components sit closest to the risk bucket. If an engine disappears, components that exist only because of that engine lose relevance. But axles, shafts, steering linkages, suspension components and several wheel-end or chassis-linked parts can remain relevant, even if their designs change.

New areas such as e-axles, motor housings and integrated drive components can become new beneficiaries, if Him Teknoforge actually develops commercial programs around them. The company's opportunity disclosure explicitly identifies such products as potential areas. Its website also lists e-rickshaw and e-loader products.

But there are no revenue numbers, volumes or order disclosures for these vehicles in the material provided.

The more credible EV question is whether Him Teknoforge can adapt its existing forging and machining capability to different driveline architectures.

Returns Require More

Revenue from operations increased from Rs. 403 crore in FY25 to Rs. 435.2 crore in FY26, growth of 8%. Gross profit increased 13.6%. The gross margin improved from 43.9% to 46.2%. EBITDA grew 15% to Rs. 43.7 crore. EBITDA margin improved from 9.4% t 10%. PAT increased 29.2% to Rs. 12.6 crore.

That is a better earnings profile. Even Q4 FY26 revenue grew 12.1% year-on-year and EBITDA grew

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18.8%, although quarterly PAT declined 8.3%.

But the absolute return ratios still show that this is not a high-return business yet. FY25 RoCE was 8.29%; RoE was around 4.43%, and net profit margin was 2.42%.

The next leg of the story therefore cannot be only about increasing revenue. The Rs. 52 crore press project, machinery upgrades and technical collaboration ultimately need to lift asset utilisation, margins or both. Otherwise, a larger asset base can simply produce a larger company without creating proportionately better returns.

Promoters & Pledges

Capital raising has also changed the ownership structure. Promoter holding stood at 53.61% in March 2024. It fell during FY25 as fresh shares were issued, reaching 47.85% in December 2024, before recovering to 50.86% by March 2025. By March 2026 it had increased to 54.37% after warrant conversion.

This movement was not simply promoters buying shares in the market. Him Teknoforge issued 8.26 lakh equity shares at Rs. 175 each to non-promoters in FY25. It also issued 16.39 lakh convertible warrants at Rs. 175 each to promoter-group and non-promoter investors. At March 2025, 8.60 lakh warrants remained outstanding, of which 8 lakh were held by the promoter group.

The FY26 result note says 8.60 lakh shares were allotted during the March 2026 quarter against the remaining warrants. A June 2026 disclosure says th entire Rs. 28.69 crore raised through the warrants had been fully utilised.

The other important ownership issue is pledge.

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Source: BSE Website

At June 2026, promoters and the promoter group held 56.17 lakh shares, or 54.37% of the company. Of these, 24.52 lakh shares were pledged or otherwise encumbered. That equals around 44% of promoter-group shares and roughly 24% of the total company equity. The annual report provides the composition.



Source: Annual Report FY25

Around 14.38 lakh promoter shares were pledged with India Automotive Component Manufacturers Private Equity Fund. Another 6.15 lakh shares were pledged with State Bank of India and Union Bank o India to secure credit facilities granted to Him Teknoforge. And 3.99 lakh Globe Precision shares in Him Teknoforge were pledged with Punjab Nationa Bank to secure credit facilities granted to Globe

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Precision Industries.

That last point links three different parts of the story: A promoter-group shareholder, a related party and what appears to be one of Him Teknoforge's largest customers.

It does not by itself imply financial distress. But it makes Globe Precision an entity investors should keep tracking.

Institutional ownership, by contrast, remains small. As of June 2026, FIIs held only 0.27% and DIIs around 0.01%. Public ownership was 45.33%. The number of shareholders had declined from 6,161 in March 2024 to 4,915 by June 2026.

There is one other governance data point worth knowing. In FY25, remuneration of MD, JMD, CFO, CS increased in the range of 7.2% - 30.37%, while the median employee remuneration declined 15.04% and average salaries for employees other than managerial personnel fell 7.91%.

That is a factual disclosure rather than a conclusion, but it belongs in the complete ownership and governance picture.

Exports With Obligations

Not every financial obligation appears inside reported borrowings. Under the Export Promotion Capital Goods scheme, Him Teknoforge obtained licences to import capital goods at concessional customs duty, subject to specified export obligation

At March 2025, the disclosed balance obligation wa Rs. 9.23 crore. The company said exports had been made toward the stipulated obligation and the required documents would be submitted to the DGFT.

Other contingent and committed items included around Rs. 8.65 crore of capital commitments, Rs. 13.82 crore of bills discounted with banks and smaller tax, GST and other disputed matters.

None of these changes the core investment case on its own. But together they reinforce what kind of

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business Him Teknoforge is.

This is a manufacturing company where investors need to watch not just the income statement but also debt, receivables, pledges, capex and contingent obligations.

Profit & Payout

EPS tells us how much profit belongs to each share, while DPS shows how much of that profit was distributed as dividend.

Longer-term EPS has been volatile rather than steadily compounding. It reached Rs. 23.27 in FY19, fell sharply during FY20, recovered to Rs. 13.58 by FY23, declined to Rs. 9.04 in FY24 and recovered partly in FY25. The dividend has been much steadier recently. Him Teknoforge has paid an adjusted Rs. 0.40 per share every year from FY21 to FY25.

With EPS rising in FY25, the payout ratio declined from 4.42% to 3.88%. The company is therefore retaining most of its earnings.

Him Teknoforge Ltd - DPS & EPS

Amounts as per standalone financial statements

Description	FY25	FY24	FY23	FY22	FY21	FY2
Adjusted EPS (Rs)	10.30	9.04	13.58	11.23	6.53	4.1
Adj DPS (Rs)	0.40	0.40	0.40	0.40	0.40	0.2
Dividend Pay Out Ratio (%)	3.88	4.42	2.95	3.56	6.12	4.1

Financials In Focus

Profit alone does not tell whether a manufacturing business is becoming financially stronger. Revenue has to turn into cash, capex has to generate returns, debt has to remain manageable and customers need to pay on time.

The biggest historical movement in the income statement table is not organic growth. Gross sales jumped from Rs. 27.08 crore in FY16 to Rs. 251.35 crore in FY17. Debt, assets, net worth and fixed assets also jumped at the same time.

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This coincides with the amalgamation discussed earlier, which had an appointed date of April 1, 2016. The historical series around this period therefore contains a structural break and should not be read as normal year-on-year business growth.

After the enlarged business was established, gross sales increased from Rs. 273.75 crore in FY18 to Rs. 323.79 crore in FY19, before falling to Rs. 227.84 crore in FY20.

Sales subsequently recovered to Rs. 408.24 crore in FY23, fell 8.2% to Rs. 374.92 crore in FY24 and recovered 7.9% to Rs. 404.41 crore in FY25. FY25 sales were therefore still marginally below the FY23 level.

Profitability recovered more strongly in FY25. PAT increased from Rs. 7.11 crore to Rs. 9.76 crore. Gross profit increased 11.6%, faster than the 7.9% growth in gross sales.

This PAT should also be read alongside the depreciation policy discussed earlier.

Him Teknoforge Ltd - Income Statement

Amounts as per standalone financial statements (INR Crores)

Description	FY25	FY24	FY23	FY22	FY21
Gross Sales	404.41	374.92	408.24	356.19	241.72
Total Income	407.00	375.92	412.77	357.62	241.41
Total Expenditure	363.94	338.35	368.91	318.61	208.16
Gross Profit	176.94	158.49	167.33	150.87	114.94
PAT	9.76	7.11	10.68	8.83	5.14
Cash Profit	20.29	16.82	20.05	18.29	14.62

Net worth increased from Rs. 180.01 crore to Rs. 216.63 crore in FY25, while reserves and surplus increased from Rs. 178.44 crore to Rs. 214.74 crore. Paid-up equity capital also increased from Rs. 1.57 crore to Rs. 1.89 crore.

Debt, however, barely moved. Total debt was Rs. 150.31 crore in FY25, against Rs. 149.48 crore in FY24

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Him Teknoforge Ltd - Sources of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY25	FY24	FY23	FY22	FY21
Equity Paid Up	1.89	1.57	1.57	1.57	1.57
Reserves and Surplus	214.74	178.44	171.60	161.20	152.51
Net Worth	216.63	180.01	173.17	162.78	154.09
Total Debt	150.31	149.48	147.73	150.61	151.09
Capital Employed	370.71	329.49	320.90	313.39	305.18

The fixed-asset base has continued to expand. Gross block increased from Rs. 284.71 crore in FY24 to Rs. 303.43 crore in FY25, a rise of 6.6%. From FY18 to FY25, gross block increased from Rs. 184.29 crore to Rs. 303.43 crore, a CAGR of roughly 7.4%, faster than the 5.7% CAGR in gross sales over the same period.

This indicates that the asset base has expanded faster than revenue since FY18. It does not mean the capex has failed, but it raises the importance of future utilisation and returns.

Cash and bank balances remained small at Rs. 2.32 crore, particularly against Rs. 150.31 crore of debt.

Him Teknoforge Ltd - Application of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY25	FY24	FY23	FY22	FY21
Gross Block	303.43	284.71	248.51	241.20	233.51
Investments	0.01	0.01	0.01	0.01	0.01
Cash and Bank balance	2.32	2.49	2.33	2.19	2.32
Net Current Assets	70.58	55.94	58.28	54.31	44.54
Total Current Liabilities	183.66	171.32	157.43	160.16	147.42
Total Assets	453.25	413.63	379.68	371.92	350.43

Cash flow from operations fell from Rs. 41.87 crore i FY24 to only Rs. 4.01 crore in FY25, even as PAT increased from Rs. 7.11 crore to Rs. 9.76 crore.

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The receivable build-up discussed earlier helps explain a meaningful part. Total trade receivables increased from Rs. 53.09 crore to Rs. 76.71 crore.

So FY25's weak cash conversion is not simply an accounting curiosity. One of the reasons was that more money remained tied up with customers while reported profit improved.

There is, however, an important counterpoint. FY23 and FY24 generated CFO of Rs. 29.15 crore and Rs. 41.87 crore, respectively. Across FY23-FY25, cumulative operating cash flow was about Rs. 75.03 crore, compared with cumulative PAT of Rs. 27.55 crore.

This means FY25 was a sharp deterioration, but the three-year record does not yet show structurally poor cash conversion.

Him Teknoforge Ltd - Cash flow from operations

Amounts as per standalone financial statements (INR Crores)

Description	FY25	FY24	FY23	FY22	FY21	FY2
Cash Flow from Operations	4.01	41.87	29.15	19.46	3.35	24.8

The historical return profile shows the effect of the business becoming far more capital intensive. RoCE was 18.61% in FY17, fell to 10.88% in FY18 and has largely remained between about 7.5% and 10.6% since FY20. Adding more assets will create value only if utilisation, margins and cash generation eventually lift returns.

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Him Teknoforge Ltd - Key Data Points

Amounts as per standalone financial statements

Description	FY25	FY24	FY23	FY22	FY21	F
ROCE (%)	9.29	8.57	10.59	9.56	8.14	
Market Capitalization (INR Cr)	150.41	95.97	59.31	71.38	59.78	1
Equity Dividend (%)	20.00	20.00	20.00	20.00	20.00	1
Dividend Yield (%)	0.25	0.33	0.53	0.44	0.53	
Adjusted PE (x)	15.41	13.49	5.55	8.08	11.63	

Him Teknoforge Ltd - Stock Performance

Amounts in INR, unless stated otherwise

Date	Open	High	Low	Close
August 26, 2026	264.95	271.40	260.00	266.40
January 6, 2000	6.20	6.20	6.20	6.20

Verdict: Watch First, Invest Later

The most useful numbers to track from here may not be revenue growth alone. Watch Globe Precision receivables. Watch overall receivable turnover. Watch debt after the Pithampur capex. Watch promoter encumbrance. Watch whether the Chinese collaboration results in actual customer programs. And watch whether ROCE moves meaningfully above its current level.

Those indicators will show whether Him Teknoforg is merely becoming larger or becoming financially stronger.

Methodology

For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.

If it has admitted to a threat, what does it plan to

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do? Let's say a company has admitted that it had a threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?

We also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.

Stock Reports Plus, powered by Refinitiv, is a comprehensive research report that undertakes an in-depth quantitative analysis to generate standardised scores for each of the five key components. A simple average of these scores is then normally distributed to reach an average score. Each stock is ranked on a scale of 1 to 10. A score of 8 to 10 is considered positive, 4 to 7 is neutral, and 1 to 3 is considered a negative outlook.

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